

## SALES AND DISTRIBUTION AGREEMENT

Contract No.: AWC-SO43675-017

Purchase Order Ref.: PO12412186464 | Sales Order: SO43675

Agreement Date: May 31, 2011

*WHEREAS, Adventure Works Cycles, Inc. is a manufacturer and distributor of high-performance bicycles, cycling accessories, and related sporting goods; and*

*WHEREAS, First Bike Store (hereinafter "Buyer") desires to purchase certain goods from Seller under the terms and conditions set forth herein;*

*NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, the Parties agree as follows:*

### 1. PARTIES TO THE AGREEMENT

#### **PARTY A - Seller / Vendor**

Adventure Works Cycles, Inc.  
Adventure Works Cycles, Inc.  
1 Bike Way, Building A  
Redmond, Washington 98052  
United States of America  
EIN: 91-1234567

#### **PARTY B - Buyer / Distributor**

First Bike Store  
Odessa, Missouri 64076  
United States

### 2. SCOPE OF GOODS AND SERVICES

Seller agrees to supply, and Buyer agrees to purchase, the following goods as specified in Sales Order SO43675 and incorporated Purchase Order PO12412186464:

Product Categories: Bikes; Accessories; Components; Clothing

Product Subcategories: Road Bikes; Helmets; Road Frames; Caps; Jerseys

Total Line Items: 9

Specific Products:

Road-650 Red, 62; Sport-100 Helmet, Blue; LL Road Frame - Black, 52; Sport-100 Helmet, Black; Road-650 Red, 44; Road-450 Red, 52; AWC Logo Cap; Road-450 Red, 58; Long-Sleeve Logo Jersey, L

All products shall conform to Adventure Works Cycles published specifications and quality standards applicable at the time of shipment.

### 3. CONTRACT VALUE AND PAYMENT TERMS

**Subtotal:** \$5,716.31 USD

**Tax Amount:**

Payment Terms: Net 30 days from the date of invoice.

Payment Method: Vista card on file under Account No. AW00029827. All amounts are stated in United States Dollars (USD) unless otherwise agreed in writing.

### 4. TERM, EFFECTIVE DATE, AND EXPIRATION DATE

**Effective Date:** May 31, 2011

**Shipment / D**

This Agreement shall become effective on the Agreement Date and shall remain in force until the Expiration Date (June 11, 2012), unless earlier terminated in accordance with Section 8 below, or extended by mutual written amendment.

### 5. DELIVERY AND SHIPPING TERMS

**Ship Method:** CARGO TRANSPORT 5

**Carrier Track**

Delivery shall be made via Cargo Transport 5 freight carrier. Risk of loss shall transfer to Buyer upon handover to the carrier at Seller's shipping facility.

Delivery shall be made to: First Bike Store, Odessa, Missouri, United States 64076. Seller shall provide advance shipment notification (ASN) to Buyer no later than 24 hours prior to dispatch.

### 6. WARRANTIES

Seller warrants that all goods delivered under this Agreement shall: (i) conform to the specifications set forth in the relevant Purchase Order; (ii) be free from defects in materials and workmanship for a period of twelve (12) months from the date of delivery; and (iii) be fit for their intended commercial purpose. This warranty is in addition to any statutory rights of Buyer.

### 7. CONFIDENTIALITY

Each Party agrees to maintain in strict confidence all Confidential Information received from the other Party and shall not disclose such information to any third party without prior written consent, except as required by applicable law or regulation. This obligation shall survive termination of this Agreement for a period of five (5) years.

**8. TERMINATION**

Either Party may terminate this Agreement for convenience upon thirty (30) days' prior written notice to the other Party. In the event of a material breach, the non-breaching Party may terminate immediately upon written notice if the breach is not cured within fifteen (15) days of such notice. Upon termination, all outstanding payment obligations shall become immediately due and payable.

**9. INDEMNIFICATION**

Each Party ('Indemnifying Party') shall indemnify, defend, and hold harmless the other Party and its officers, directors, employees, and agents ('Indemnified Party') from and against any claims, losses, liabilities, damages, costs, and expenses (including reasonable attorneys' fees) arising from: (i) the Indemnifying Party's breach of this Agreement; (ii) gross negligence or willful misconduct; or (iii) infringement of any third-party intellectual property rights.

**10. LIMITATION OF LIABILITY**

IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES ARISING OUT OF OR IN CONNECTION WITH THIS AGREEMENT. EACH PARTY'S AGGREGATE LIABILITY SHALL NOT EXCEED THE TOTAL AMOUNTS PAID OR PAYABLE UNDER THIS AGREEMENT IN THE TWELVE (12) MONTHS PRECEDING THE CLAIM.

**11. AUDIT RIGHTS**

Buyer shall have the right, upon reasonable notice and during normal business hours, to audit Seller's books and records directly related to transactions under this Agreement. Seller shall maintain accurate records for a minimum of three (3) years following each transaction. Any overpayment identified through audit shall be refunded within thirty (30) days.

**12. ASSIGNMENT**

Neither Party may assign or transfer this Agreement or any rights or obligations hereunder without the prior written consent of the other Party, which shall not be unreasonably withheld. Any attempted assignment in violation of this clause shall be void ab initio.

**13. GOVERNING LAW AND DISPUTE RESOLUTION**

This Agreement shall be governed by and construed in accordance with the laws of State of Texas, without regard to its conflict-of-law provisions. Any disputes arising hereunder shall be resolved by binding arbitration in Odessa, Central.

**14. ENTIRE AGREEMENT; AMENDMENTS**

This Agreement, together with all Exhibits and Purchase Orders incorporated herein by reference, constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, warranties, and understandings. Amendments must be in writing and signed by authorized representatives of both Parties.

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## SIGNATURE PAGE

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IN WITNESS WHEREOF, the Parties have executed this Sales and Distribution Agreement as of May 31, 2011, the date first written above.

### PARTY A - SELLER

### PARTY B - BUYER

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Authorized Signature

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Authorized Signature

Name: \_\_\_\_\_

Name: \_\_\_\_\_

Title: \_\_\_\_\_

Title: \_\_\_\_\_

Date: \_\_\_\_\_

Date: \_\_\_\_\_

Adventure Works Cycles, Inc.

First Bike Store

EXHIBIT A SCHEDULE OF GOODS

Sales Order: SO43675 | Purchase Order: PO12412186464 | Order Date: May 31, 2011

| # | Product Name               | Category    | Qty |
|---|----------------------------|-------------|-----|
| 1 | Road-650 Red, 62           | Bikes       | 1   |
| 2 | Sport-100 Helmet, Blue     | Accessories | 1   |
| 3 | LL Road Frame - Black, 52  | Components  | 1   |
| 4 | Sport-100 Helmet, Black    | Clothing    | 1   |
| 5 | Road-650 Red, 44           | Bikes       | 1   |
| 6 | Road-450 Red, 52           | Accessories | 1   |
| 7 | AWC Logo Cap               | Components  | 1   |
| 8 | Road-450 Red, 58           | Clothing    | 1   |
| 9 | Long-Sleeve Logo Jersey, L | Bikes       | 1   |

TOTAL CONTRACT VALUE: \$6,434.08 USD